

Bumble - Increase ARPU

About Bumble and the business model

Bumble is a popular dating app that allows users to connect with potential matches. The app operates on a model where women make the first move and have 24 hours to initiate a conversation with a match before the match expires. The app generates revenue through in-app purchases, such as Bumble Boost and Bumble Premium, which offer premium features such as the ability to rematch with expired matches, unlimited swipes, etc.

Why focus on ARPU?

It has a direct correlation with customer **LTV**.

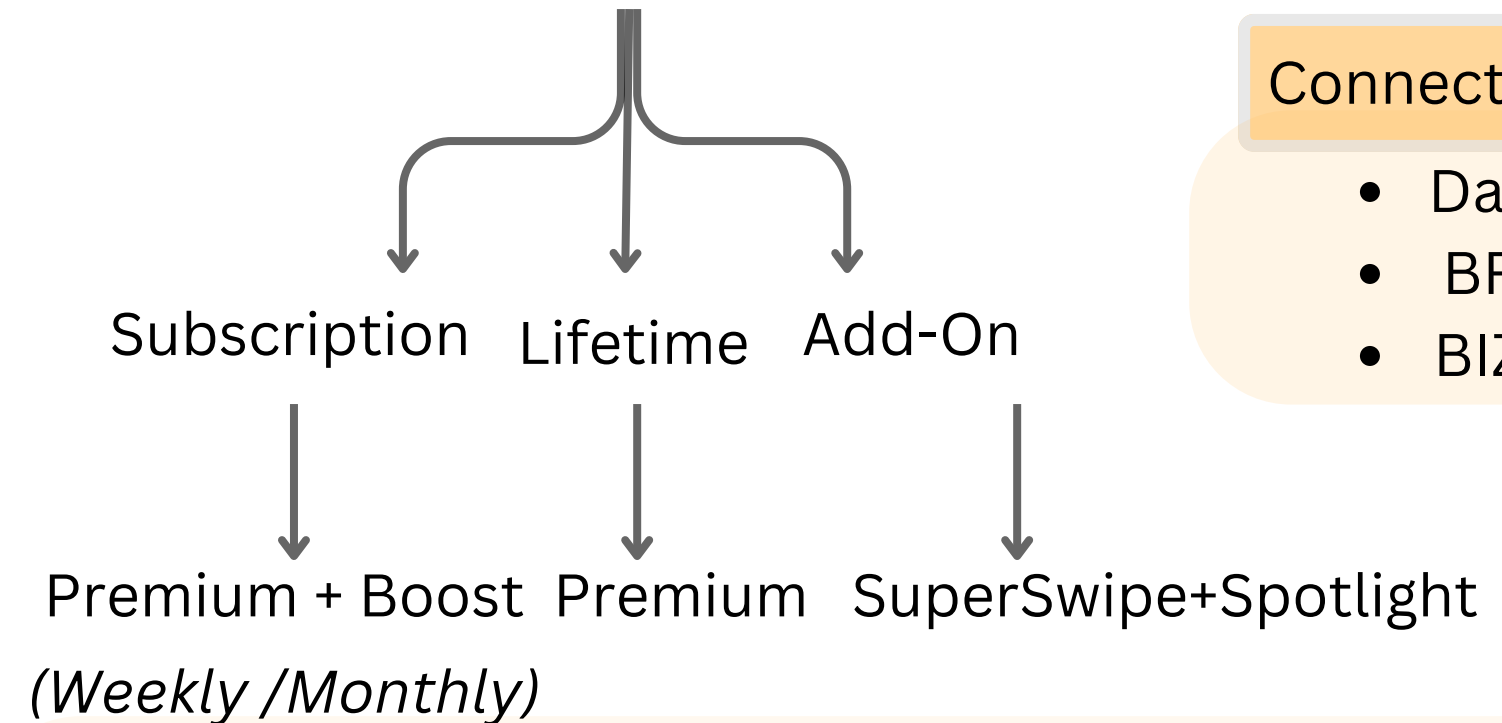
Not only is it a key indicator of **profitability and growth**, but it can also be the missing piece to truly understanding your customers.

It allows a direct comparison to competitors. A **higher ARPU** indicates that company is moving in right direction.

Sources:

1.[Inc42](#); 2.[Online Dating](#); 3.[Growth](#); 4.[ARPU](#); 5.[Survey](#)

Revenue Model for Per User



- Goal is to increase ARPU without altering the current price.
- Revenue is the **Business Outcome** , which is function of ARPU & # of users over a period of time.

Why Dating space & Bumble?

- Online dating in India users were ~ 25M in 2021, and are poised to cross **28M by 2025**.
- Around **92%** are into modern-age dating apps & around 48% of users from the survey are using **Bumble**.
- **57%** of users find online dating more important than before (in a survey conducted by Bumble)

Product Outcomes & User Persona - JTBD impacts ARPU

Desired product outcomes which can improve ARPU

User Engagement

- Daily Active User
- Time Spent
- User Retention

Awareness

- Aware of all the features.
- Know limitations of free trial / features.

Feature Adoption

- Feature Usage
- Feature Satisfaction
- # of users adopting to new feature.

App performance & maintenance

- App Load time.
- App Bugs
- App Security

KPIs mentioned here are **leading indicators** that can impact ARPU & have no direct correlation with it.

Sources : 1.[The Problem](#); 2.[Survey](#)

User Persona

As per the survey, most users are into Dating so the focus is on the **Date** part of Bumble but designed solutions caters to all user segments.

Bio

Anup is a 24 y.o. PM in Bengaluru loves trying new cafes, playing video games On a dating app to meet people & is looking for a serious relationship.



Scenario

After a busy workday, he opens the app to browse matches and messages. Hopes to find a match for a date, with someone who shares similar interests and values.

Expectations

Expects accurate profile matching, seeks to find matches with similar interests and values, and hopes to have engaging conversations before meeting in person

The Problem : What 's causing users to get frustrated

Value Generated

For the user:

- More interactive conversations
- Greater chances of a compatible partner

For the business:

- Additional stream of revenue from each user. (Increase in ARPU).
- Scope for Positive reviews which helps in enhancing Growth Cycle & overall revenue (From other Users)

The 5 Why's

Problem: Even after buying and getting a match not able to convert it into a serious relationship.

1. Why user's job is not done on the platform even after buying premium?

👉 Current features in premium won't help in getting the right match or help them in knowing each other better.

2. Why there is a lack of genuine matches?

👉 The premium features just help users in expanding their reach & view more profiles along with an increase in time spent rather than striking the right conversation.

3. Why do users lack adequate conversation even after a match?

👉 Common pick-up lines & few don't feel connected with boring English conversations.

4. Why do users feel they have to put a lot of effort?

👉 Because they have difficulty having substantial conversations and ended up having only '**small talks**'.

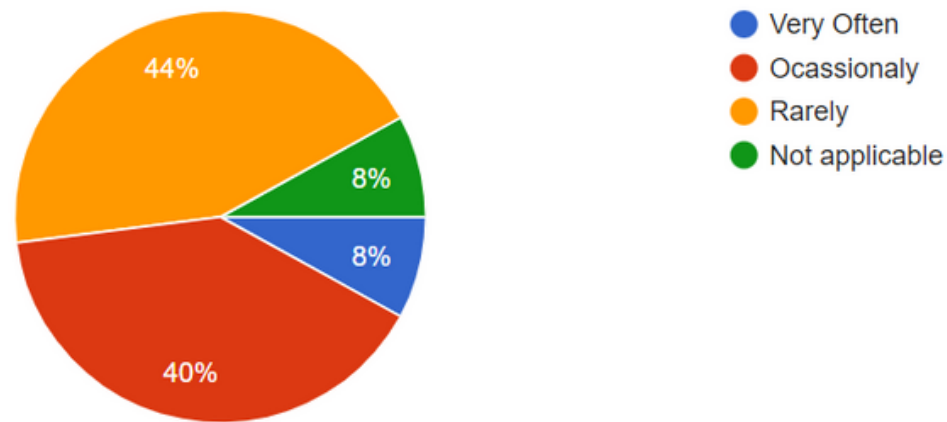
5. Why do they have difficulty maintaining conversations?

👉 Due to busy schedule and texting becomes monotonous and hence conversations become erratic in nature with no real meetings.

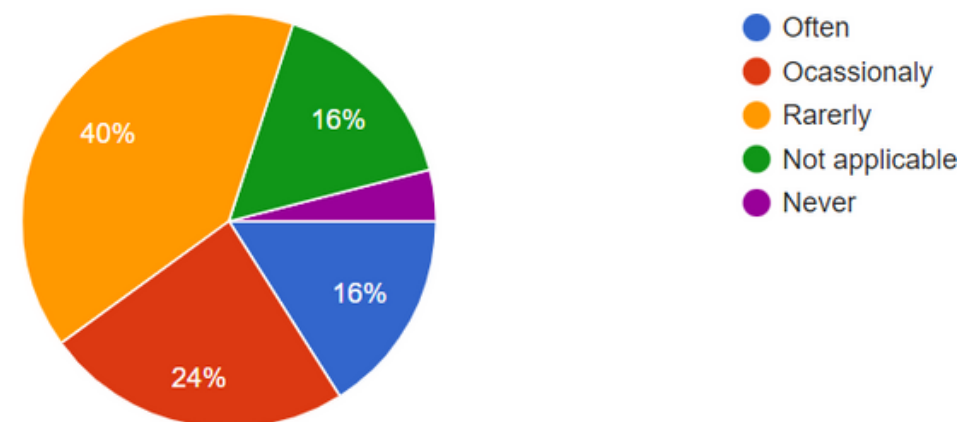
Source : [Premium lacks Humality](#)

It's important to meet users' expectations which will urge them to pay for features that lead to the actual Job To Be Done (Getting a True Match) on this platform.

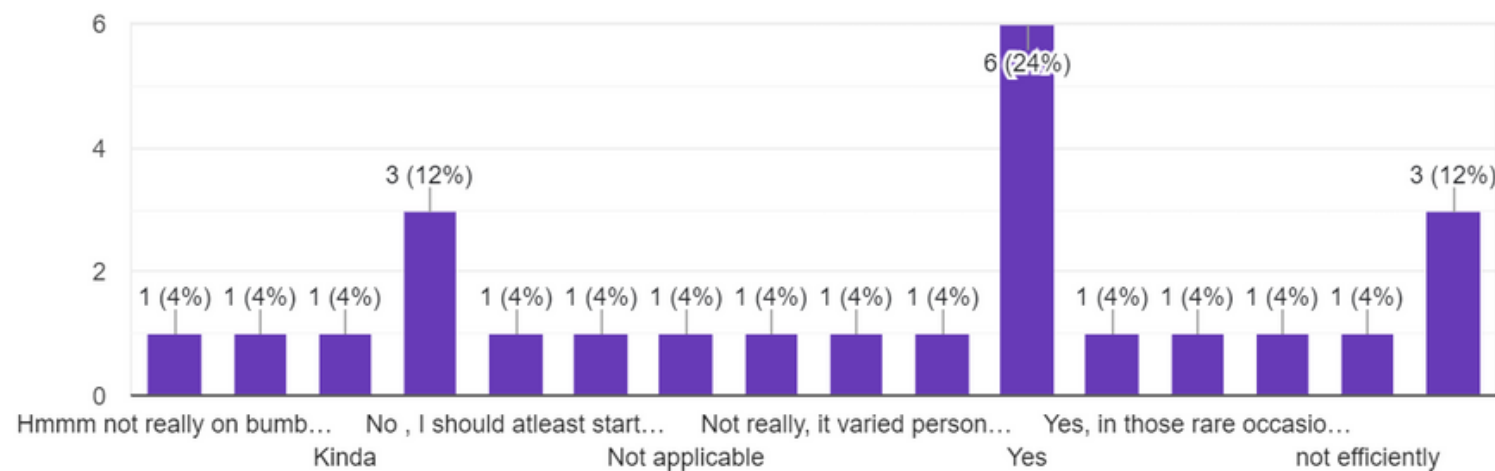
Problem Validation -40% of users have no meaningful talks



How often did you receive matches with potential suitors who met your preferences?



How often were you able to successfully meet up for a date with a potential match?



Were you able to effectively communicate with your matches on the app?

Responses

"it got stale. same conversations, same questions, same answers. Then, same dates, and the main problem is poor chat experiences, people not showing up to the conversation, no follow up I mean. And pictures not reflecting reality."

"In Bumble, despite getting so many matches. People don't text you, It stops and I feel the algorithm doesn't show our profile within the first 6 hrs."

Conclusion

Above are the response from surveys , were people tend have more issues regarding conversations which they expecting to be genuine , real and engaging, People tend to impress a lot which feels robotic.

Solutions are designed considering these factors and pain points.

Sources : 1.[Excel](#); 2.[Survey](#)

- Based on the survey most users were not able to have engaging conversations seemed monotonous & ended in losing connections
- Lack of motivation to drive offline dating / meet-ups.

Potential Solutions-Make users buy an add-on for JTBD

What the Product is?

How does it work?

How does it solve the problem?

Go Live Date

- **Live Date** is an Add-On that enables users to get suggestions for **events / offline meet-ups/ Tech events** based on their common interests
- Helps in getting the '**AHA**' movement by converting online text to **real meet-ups**.

- Once matched & having an initial chat. Virtual / nearby meetup places are suggested based on their interest.
- They can select upto two places / events for the given price.

- It's solves the problem of reaching the potential matches in unique way & connecting them through offline mode.
- Providing more energetic way of connecting from boring texts.

Quirky Pick-up Line

- Prompts in native languages will enable quick connection and hassle-free texting.
- Users will be provided with prompts based on the topic of their choice.

- Once matched users can use prompts in their preferred language to get quick attention.
- This can be sent through postcards to have a vintage feeling.

- Helps get attention for their match.
- Avoids repetitive textual messages.

Match by common Traits & Language

- This will enable users to get potential matches based on traits, distance & languages.
- Along with common traits, users can custom traits that they wish to see in their better half & get recommendations.

- Users are given options to opt for languages, specific distances & traits to get matches.
- Have the option to apply a filter on all of the features or can opt for specific ones.

- Helps in getting quality matches
- User can see profiles they wish too.

Prioritization & Solution Overview

	Adoption	Impact	Confidence	Effort	Overall Score
Go Live Date	High - 4 (Excites users buy this feature to have live date)	High - 4 (Increased user real conversation)	High - 5 (Virtual events & meetups increase chances of true match.)	High -4 (High effort in tech and operations)	20
Quirky Pick-up Line	Medium- 3 (Helps in quick conversations)	Medium- 3 (Useful for start of conversation)	Low - 2 (Prompts can be robotic.)	Medium- 3 (Moderate effort required.)	6
Match by common Traits & Language	High - 4 (Helps in getting suitable matches.)	Low - 2 (May not lead to true match / enhanced talks.)	Low - 2 (Doesn't help in reaching AHA movement or know about their match.)	Medium- 4 (High effort required.)	4

About Chosen Solution

As most users struggle in having intriguing conversations, the **Go Live Date** add-on will enable users to invite their matches to **events/meetups / Tech events** / common places to collab such Book reading sessions & drive their real dating & building relationships.

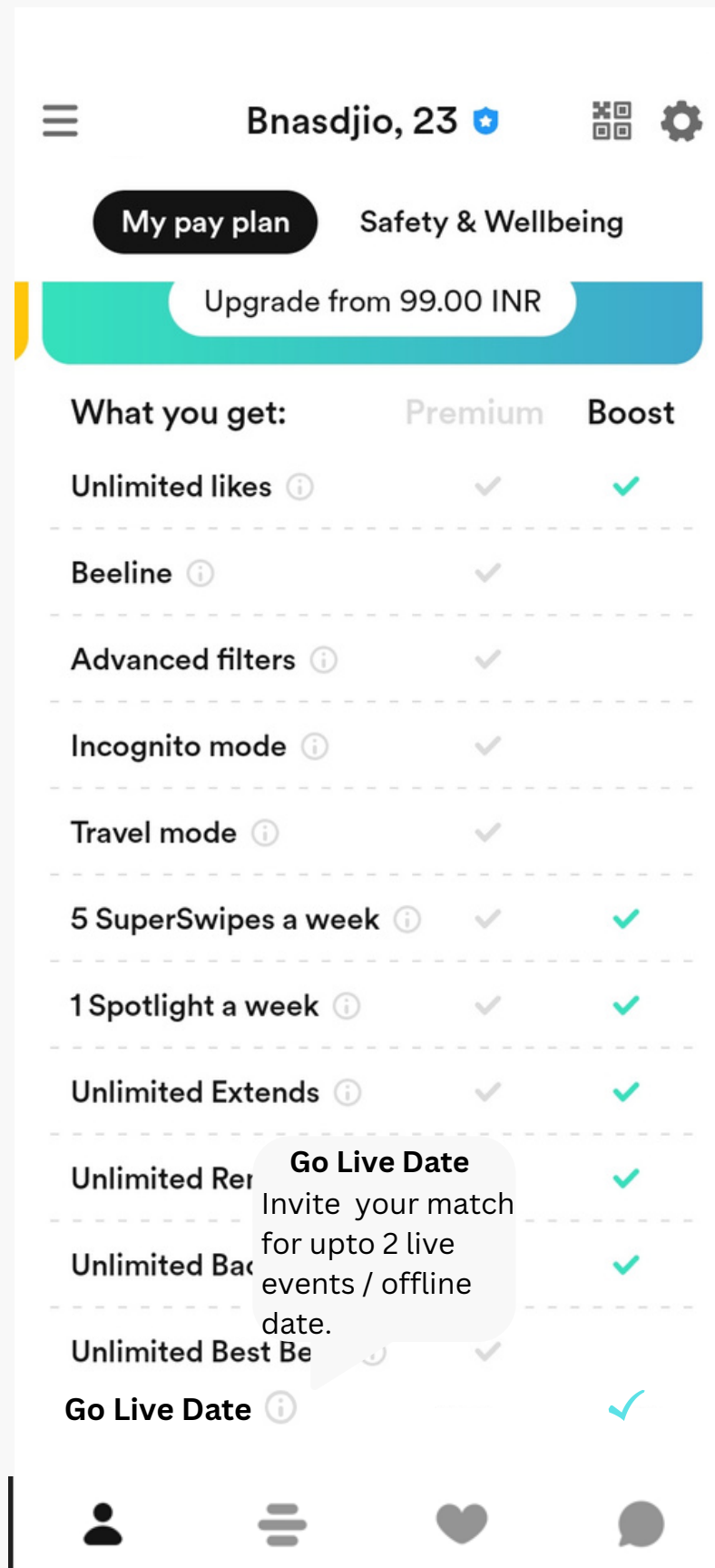
For Bumble

- It will add additional revenue per user.
- Bumble will organize events by collaborating with other partners.

For Users

- Users will have meaningful conversations with their matches.
- Enhance strong bonds with potential matches.
- Build strong professional network & friendship for BFF & BIZZ category.

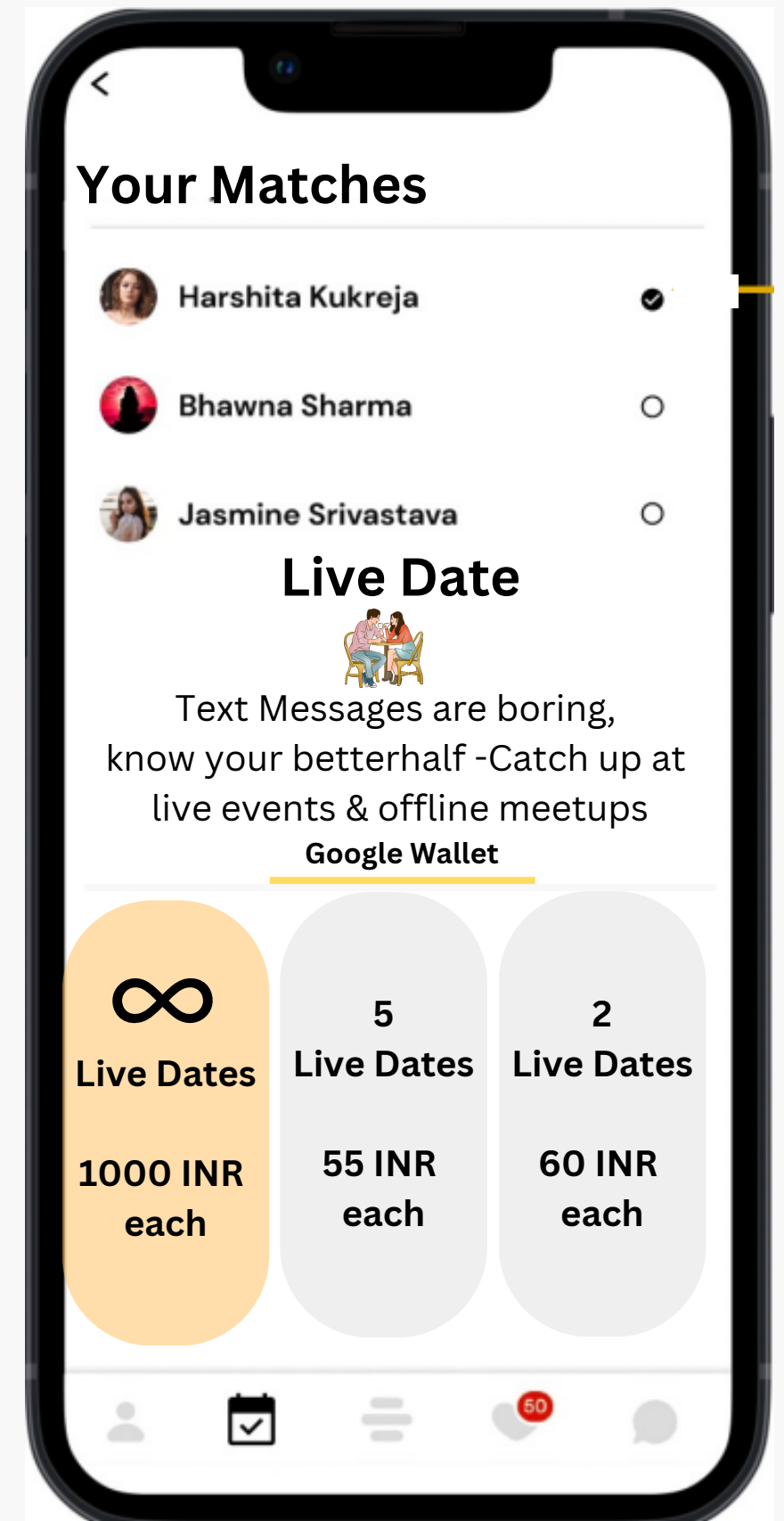
Pricing Structure - Driving Intent to Buy



This feature is listed on Boost, where users can will be given upto 2 events / places to invite their matches

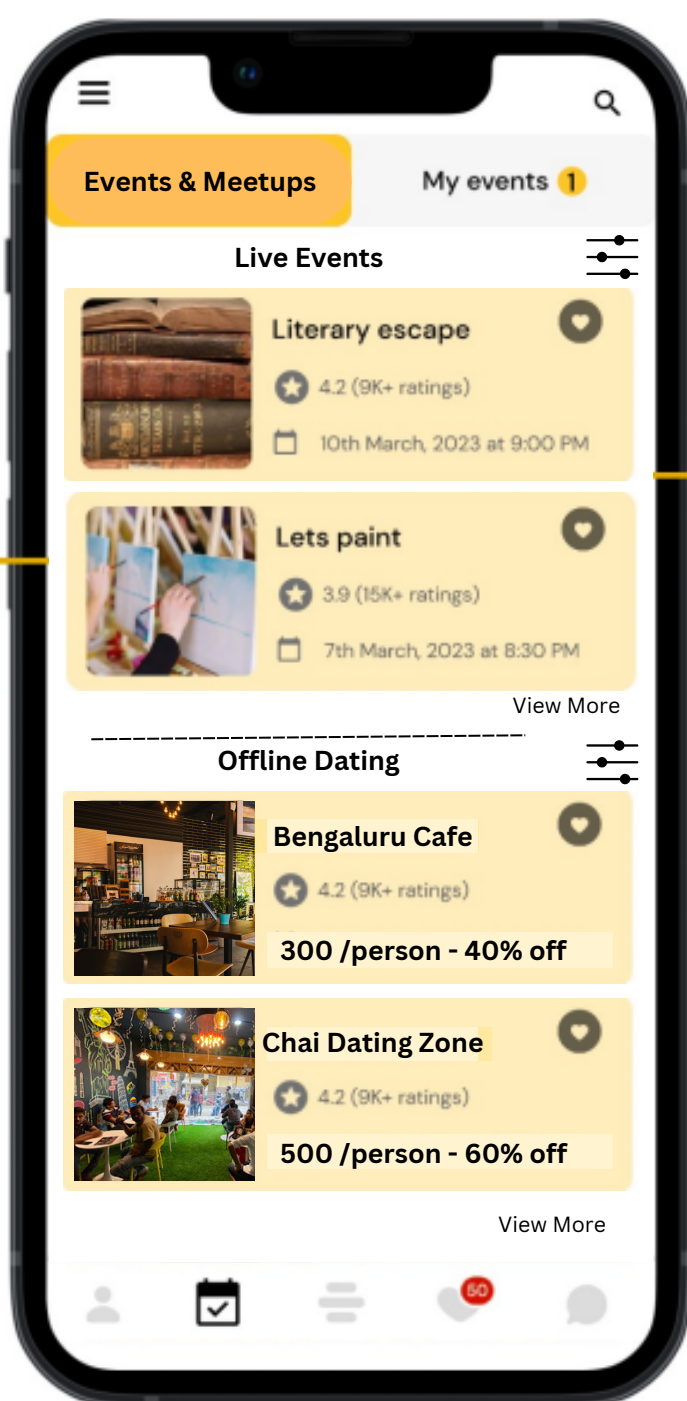
If user have not bought Boost, them they will receive pop-up in their match list / chat section to buy Go Live Date add-on

- These are sample prices & can be introduced a few more prices.
- Once users buy the add-on they are taken to the event listing & managing page where can invite & accept invitations.



Wireframing - Interaction of Users with the feature

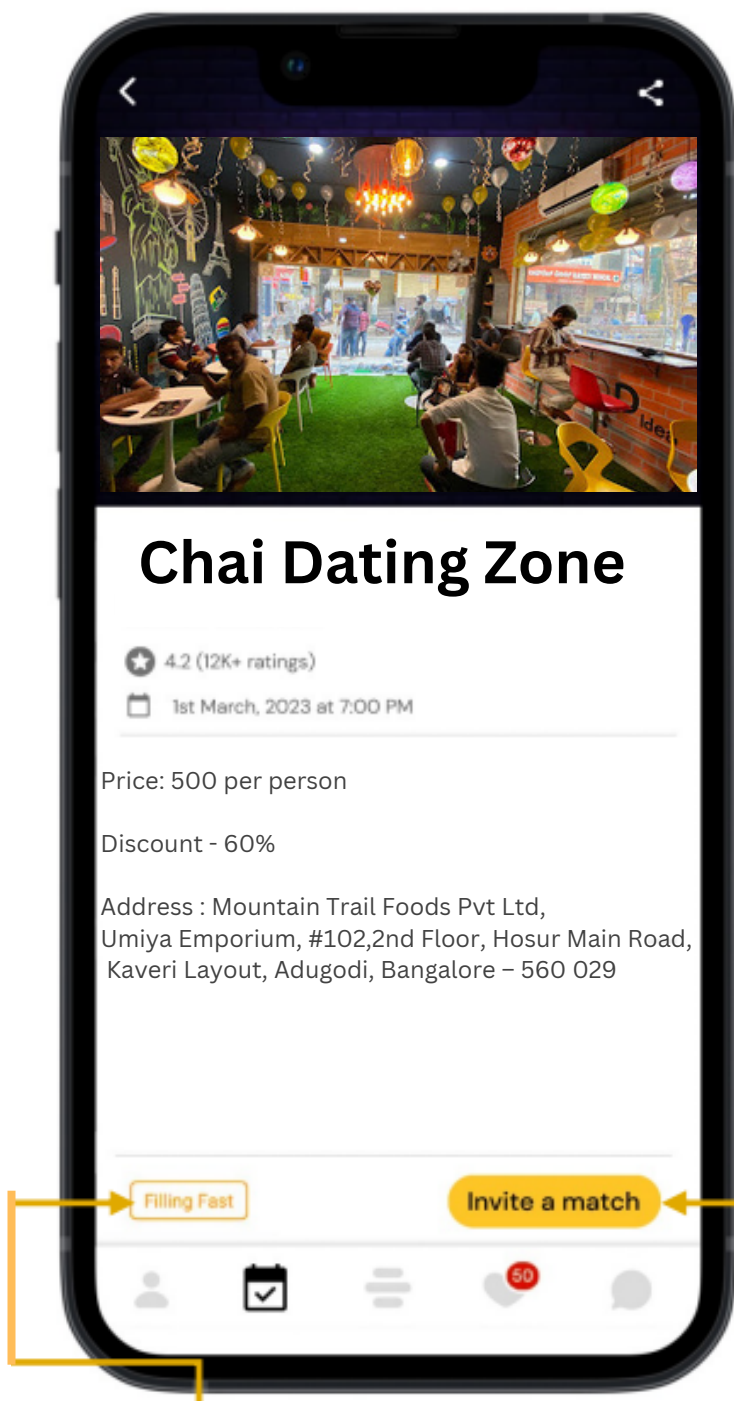
1.Event Home Page



Reminder to drive intent

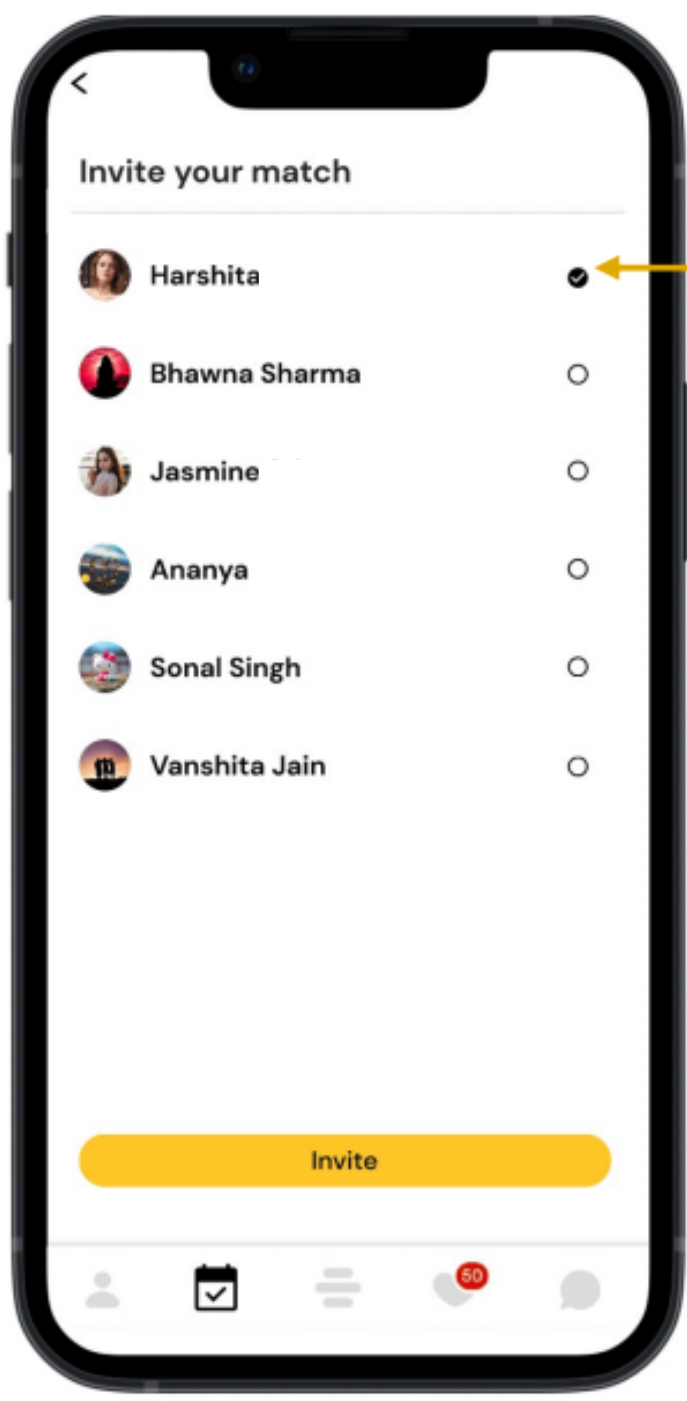
Event/meetup page for users to opt & invite

2. Event Details



Details related to offline places/events are displayed.

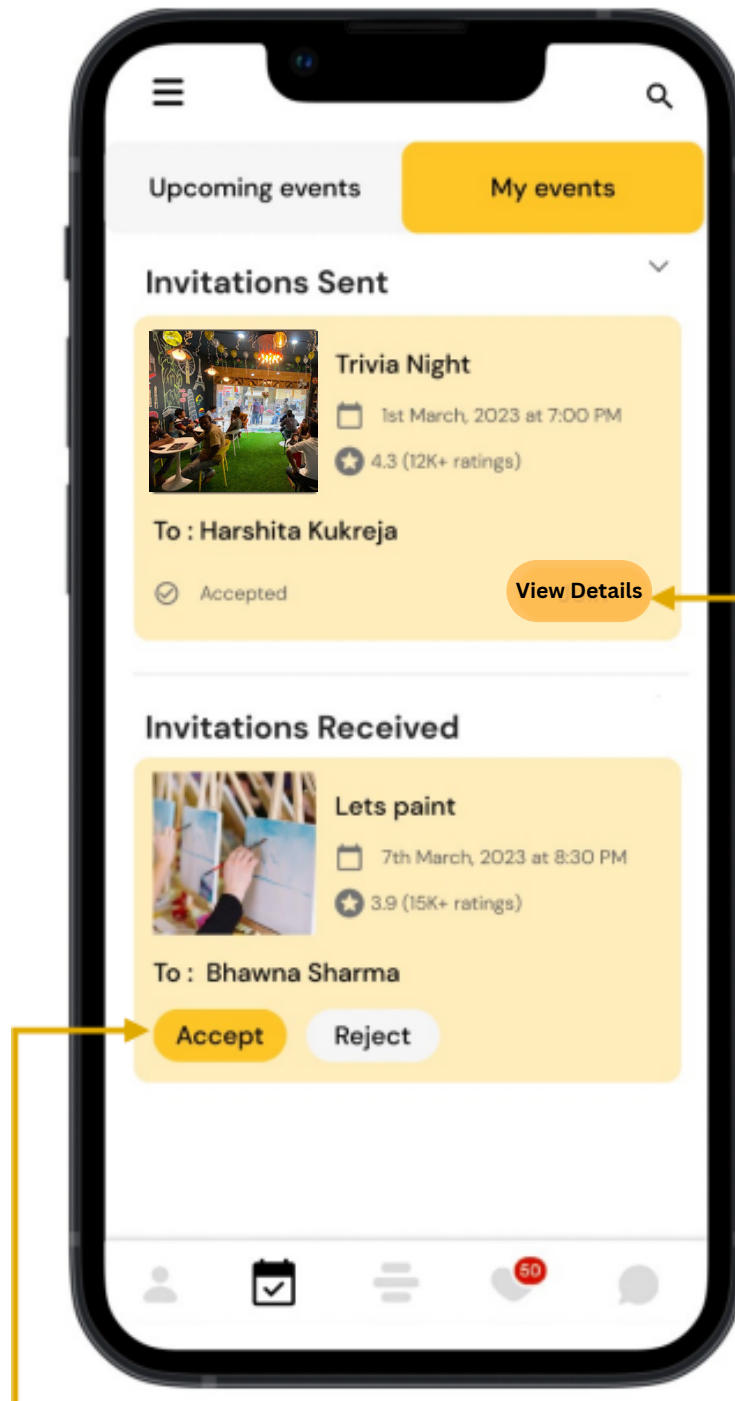
3. Invite Match



Can invite their matches

Users can invite their match to the event.

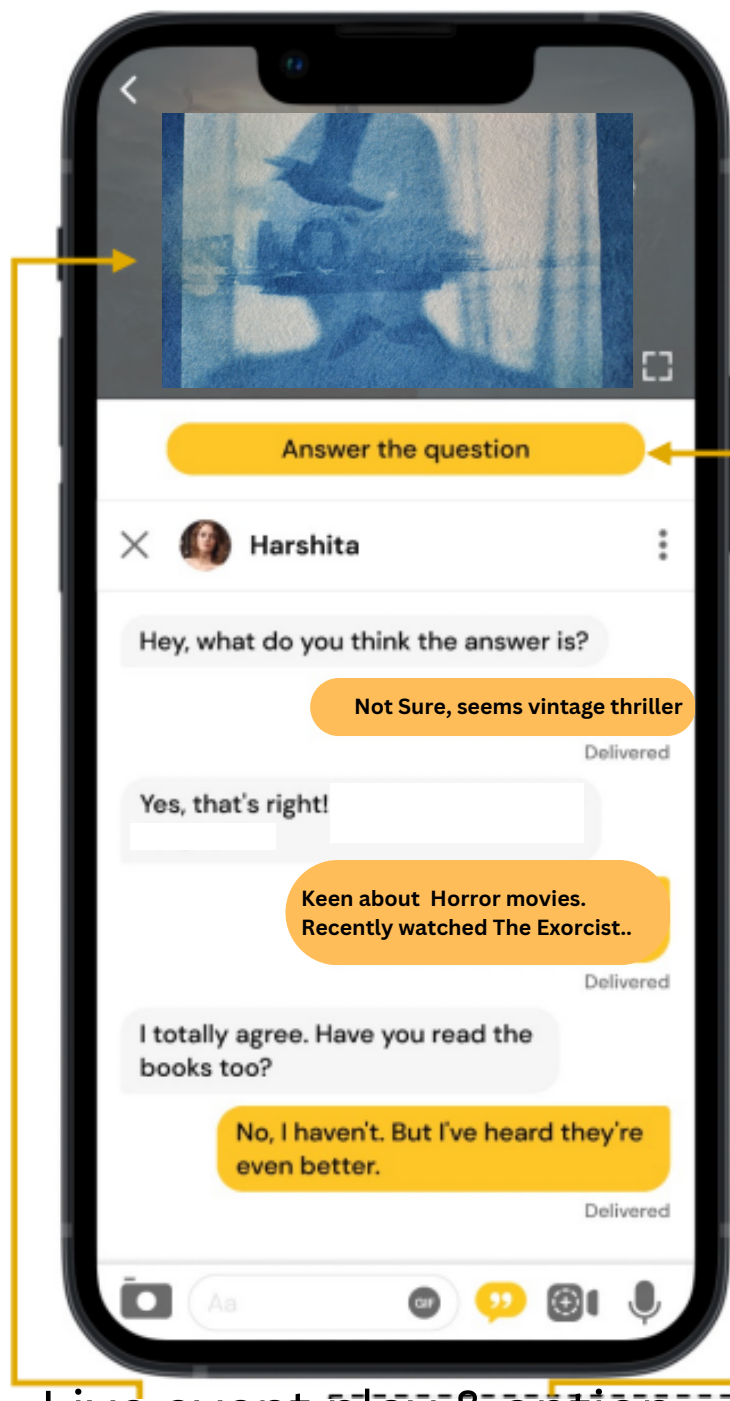
4.My Event Page



CTA to view details

List contains upcoming meetups & requests.

5.Live Event



Live event play & option to ask

Users can have chat in live events.

Metrics & Pitfalls

Metrics to be Measured

North Star Metric

of **events / meetups** booked

Reach

- # of users sending invite to their matches.
- # events /meetups held per week/month.
- # events/places recommended to users.

Activation

- % of users accepting the invite.
- % of users attending the event / meetup.

Engagement

- Avg duration of events.
- % of users who engage in private chats.
- # of offline meetups & duration.

Business Metrics

- Avg Revenue Per User
- # of users buying this add-on

Potential Pitfalls & Mitigations

Pitfalls

Users may not find relevant places as per locations

Limited availability in events may disappoint users

Poor quality experience could affect user engagement

Lack of motive among users to buy this Add-On feature

Mitigations

- Along with the recommendation of places users should be given an option to opt based their preferred **location & budget**.

- **Multiple sessions** for popular events.
- Setting clear expectations **around availability**.

- Establish expectations and monitor **partner performance**.
- Provide **continuous feedback** to partners

- For first time users entry to online event & offline meetup place recommendation can be made free to **drive their intent**.